Stabilise · Save · Invest · Grow

RESTRICTED

How to optimise Indonesia's natural-resource wealth, align it with Danantara's 40 DDMF programmes, and the economic effects.

1 How the work unfolded

Each step built on the one before

25 SEP — Stabilise and Save
Exports 2000–2025; lessons from Chile, Mexico, Brazil, Norway, Alaska, Kuwait, Timor-Leste.
Paper 1 · EN + ID

27 SEP — Refine and brief
Paper revised; first English briefing deck.
Paper 1 v2 · Briefing

29 SEP — DDMF pipeline
RKAP 2026 tested; aggressive option: spend savings where multipliers justify it.
Policy Note 2 · EN + ID

1–2 OCT — Sovereignty first
Maritime and alutsista as priorities; sovereignty tier ≤20%; Athens flagged.
40-slide decks · EN + ID

5 OCT — Three clusters
GDP, growth, jobs, tax and imports per cluster; Others due diligence.
Integrated paper

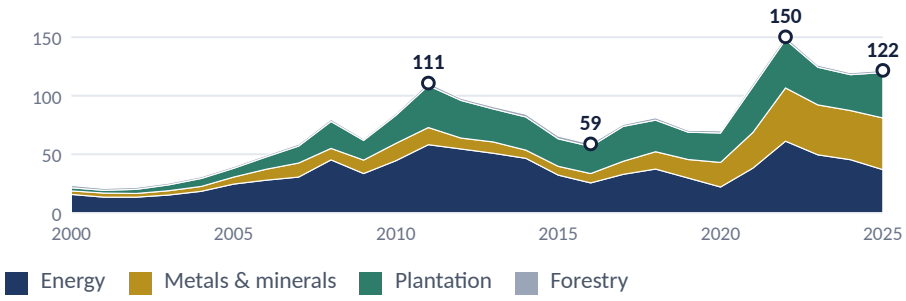
8 OCT — The road to 8%
Growth bridge, three scenarios, recommended path; five-part structure.
Paper 65 pp · decks 40

2 What we have: large, volatile, depleting

US$122 bn — resource exports in 2025, 8.4% of GDP

5× — growth since 2000 (US$23 bn)

8 — boom-and-bust phases since 2000



Resource exports by industry, US$ bn. Metals rose from 13% to 36% of the total after the ore export bans; energy fell from 67% to 30%. Source: UN Comtrade, CEPII BACI.

3 One fund, three windows

Natural-resource PNBP (≈ Rp 229–250 T a year) — 30% saved by rule

STABILISE — Reserve window
- Chile-style reference price
- Saves windfalls, covers shortfalls
- Steadies the budget and rupiah

SAVE — Future window
- Norway-style, invested abroad
- 3% real draw to the budget
- Wealth for future generations

INVEST — Development window
- Executed by DDMF under a mandate
- 60/30/0 split; 5% loan cap
- Sovereignty tier ≤20%; sunset 2038

Governance: one Law; the Ministry of Finance owns the fund; six tests every project must pass before money moves.

4 Making it sustainable: DDMF's 40 projects

Rp 2,091 T investment · Rp 419 T DDMF equity · 2027–2032

Rp 1,113 T · 53% Infrastructure · 11 + 5 uncosted
Rp 648 T · 31% Natural resources · 13
Rp 225 T Defence · 7
106 Others

CLUSTER	INVEST. RP T	PEAK GDP %	LASTING RP T/YR	JOB-YRS M	LASTING JOBS K	IMPORTS US$ BN
Natural resources	648	0.44	100	1.1	245	16.4
Infrastructure	1,113	1.07	137	7.2	842	12.5
Defence	225	0.10	7	0.6	28	7.0
Others	106	0.07	16	0.5	125	3.0
Total	**2,091**	**1.55**	**260**	**9.4**	**1,241**	**38.8**

+1.5% GDP level at peak (2030)

+0.44 pp added growth a year, 2027–30

+0.74% GDP permanently (Rp 260 T a year)

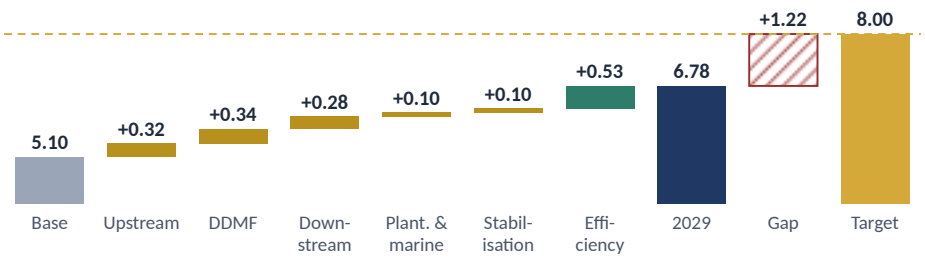
1.24 m lasting jobs; 9.4 m job-years in the build

Watch the 2032 drop: investment drops from Rp 409 T to Rp 87 T, cutting growth by ~0.7 points. Stretch timelines and prepare a successor pipeline from 2030.

5 Reaching high growth: the road to 8%

Growth = investment ratio ÷ ICOR

Growth bridge for 2029, real GDP growth %



6.25% · natural-resource levers alone | 6.78% · with better efficiency | 1.22 pp · gap: non-resource reforms

Illustrative; BPS, BKPM, IMF data; author's model.

	S1 · Efficiency first	S2 · Big push	S3 · Industrial leap
Investment, % GDP	31.5	38.5	34.5
ICOR	3.95	4.8	4.3
Growth 26→29	5.3 → 8.0	6.3 → 8.0	5.5 → 8.0
Hardest	ICOR 3.95 in 4 years	Investment +15%/yr	Manufacturing +11.5%/yr
Current acct	−1.3%	−3.8%	−1.8%
Main risk	Reform politics	Balance of payments	Global markets

Recommended path: S3 with the reforms of S1. Investment of about 33.5% of GDP with an ICOR of about 4.2 gives 8% (33.5 ÷ 4.2). Indonesia grew 7–8% in the mid-1990s with investment near 30% of GDP. Hold it with a successor pipeline after 2029.

6 Design · Execute · Monitor · Mitigate

How the path is kept on course

Design
- One Law, three windows
- Six-test gate for every project
- ICOR and local content as targets

Execute
- 2026–27: mining, the Law, reforms
- 2027–29: build; SMEs via DOCK-UP
- 2029–32: successor pipeline

Monitor
- Quarterly dashboard: growth, ICOR
- Current account, logistics, inflation
- 2028 mid-term review; 2038 sunset

Mitigate
- Deficit > 2.5% of GDP → slow drawdowns
- ICOR > 5 in 2028 → freeze projects
- Redesign 4 Others; settle 9 open points